

Votes *in* ACCOUNT

The UPA has placed its bets on the voting class to return it to power and hopefully sustain growth

| By Shankkar Aiyar |

Damned if you do and damned if you don't. The old adage must have visited the thoughts of stand-in Finance Minister and External Affairs Minister Pranab Mukherjee last week. The vocal middle class, expecting pre-poll sops, was furious that Mukherjee had not obliged. The 90-minute speech provided a glimmer of hope when Mukherjee said, "Extraordinary economic circumstances merit extraordinary measures." However, the goodies expected in its wake didn't arrive. Former finance minister Yashwant Sinha put it succinctly, "The finance minister devoted at least three paragraphs to the global crisis impacting the Indian economy. It is another matter he ended up doing nothing about it."

Governments the world over are poring over prescriptions authored during the depression years and by John Maynard Keynes to find measures to pull their economies out of the trough. As with Manmohan Singh in 1996, Mukherjee too stuck to convention. He told Parliament: "Constitutional propriety requires that new the government (elected by May-end) formulates tax and expenditure policies for 2009-10." It did not stop the government from allocating more money

in the Vote on Account for its pet schemes though. Predictably, the vociferous urban voice railed and occupied prime time on February 16 lamenting the implications of wasted time. The optics suggest that the UPA has messed up.

The distance between optics and reality though is easily bridged if one views the situation through the prism of politics. The UPA in 2004 anointed Keynes as the reigning deity at the ideological altar and practised an Indianised version of Keynesian economics. It poured unprecedented sums into various schemes to prime rural incomes. For instance, through its tenure it spent Rs 1,93,715 crore on schemes under rural development. The farm loan waiver of Rs 65,000 crore-plus and the implementation of the Sixth Pay Commission among other measures have ramped up the revenue deficit by over Rs 1,86,089 crore this year. Worse, the quest to deliver outcomes on huge outlays has been conveniently buried. The political math is that money pumped into the rural economy delivers votes and hopefully moolah will translate into consumption and drive growth.

The problem with the spend and reap theory is that it works only in good times. The UPA could spend only

